

ARIZONA SPACE SECTOR COORDINATED FEDERAL STRATEGY ACTION PLAN

*A 12-Month Execution Roadmap for the Arizona Space Commission,
Arizona Commerce Authority, and State Space Ecosystem Stakeholders*
March 2026

Synthesizes: Market Intelligence Report (March 2026) + Federal Opportunity Capture Strategy (March 2026)

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1. Purpose and Scope of This Plan

This action plan converts two foundational analyses—the Arizona Space Technology Market Intelligence Report and the Federal Opportunity Capture Strategy—into a concrete, time-bound execution roadmap. It is designed for the Arizona Space Commission (relaunched February 2025 under Governor Hobbs pursuant to HB2254), the Arizona Commerce Authority, and any coordinating body or advisory firm tasked with advancing Arizona’s position in the federal space economy.

The plan identifies five specific workstreams, each with defined deliverables, responsible parties, timelines, and success metrics. The planning horizon is 12 months (March 2026–March 2027), with forward-looking indicators extending to 2029. Every action is grounded in documented federal programs, current solicitation timelines, and verified Arizona industrial capacity.

Central thesis: Arizona’s space economy is real and growing, but the state has no coordinated federal strategy. The congressional delegation lacks a unified “ask.” The two spaceport efforts are uncoordinated. The state’s mid-tier companies lack the compliance posture to compete for defense space BAAs. The universities are underleveraged for federal research capture. And the Space Commission has not yet published its first strategic plan. This action plan addresses all five gaps.

2. Workstream 1: Congressional Delegation Strategy

2.1 Map the Delegation's Leverage Points

Arizona's federal delegation has meaningful but underutilized committee positions for space and defense. The following map identifies where legislative leverage exists as of the 119th Congress (2025–2027).

Member	Chamber	Key Committees	Space/Defense Relevance
Sen. Mark Kelly (D)	Senate	Armed Services; Intelligence; Environment & Commerce (Subcom. on Space)	Former NASA astronaut; most credible space champion in entire Congress. On Armed Services—directly shapes NDAA space provisions and Golden Dome oversight. On Intelligence—touches NRO and classified space.
Sen. Ruben Gallego (D)	Senate	Homeland Security; Banking; Energy & Natural Resources; Veterans Affairs	Marine veteran; former HASC member in House. No direct defense appropriations or SASC seat, but Homeland Security touches border-adjacent spaceport coordination (Yuma) and he can cosponsor Kelly-led space provisions.
Rep. Juan Ciscomani (R-AZ-06)	House	Appropriations	ONLY Arizona member on House Appropriations. District includes Tucson—home to Raytheon space factory, Rocket Lab/Geost, Paragon, UofA. Critical for Congressionally Directed Spending and defense approp. report language.
Rep. Andy Biggs (R-AZ-05)	House	Judiciary; Science, Space, and Technology	On the authorizing committee for NASA, NOAA, and NSF. Can influence NASA authorization, SBIR reauthorization language, and commercial space policy.
Rep. Abe Hamadeh (R-AZ-08)	House	Armed Services	District covers parts of East Valley. HASC membership allows input on NDAA provisions affecting Space Force, SDA, and missile defense.

Rep. Greg Stanton (D-AZ-04)	House	Transportation & Infrastructure; Judiciary	T&I touches FAA authorization—directly relevant to commercial space licensing reform and spaceport support. District includes parts of metro Phoenix.
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2.2 Build a Unified Arizona Space Priorities Brief

The delegation currently has no coordinated space-sector ask. Each prime contractor lobbies independently. The cities of Sierra Vista and Yuma pursue separate spaceport strategies. The universities compete rather than coordinate. The result is that when appropriators and authorizers write legislation, Arizona is not at the table with a coherent pitch.

ACTION 2.2.1: Draft a one-page “Arizona Space Priorities” brief for the full delegation. This document should be updated annually and contain no more than five specific asks, each tied to a specific legislative vehicle (NDAA, defense appropriations, CJS appropriations, or standalone bill). The brief should be delivered to each member’s legislative director and relevant committee staff no later than May 2026, in advance of the FY2027 NDAA markup cycle.

Recommended FY2027 asks for the brief:

Priority	Vehicle	Lead Member	Specific Ask
1. Protect SDA constellation funding	FY2027 Defense Approp.	Sen. Kelly (SASC) + Rep. Ciscomani (HAC-D)	Report language directing SDA to maintain Tranche 3 Tracking Layer production timelines and fund Tranche 3 Transport Layer. Cite Northrop Grumman Gilbert and Rocket Lab/Geost Tucson as production nodes.
2. Support Arizona spaceport development	FY2027 NDAA or FAA Reauth.	Rep. Stanton (T&I) + Rep. Biggs (Sci/Space/Tech)	Authorization language directing FAA/AST to expedite commercial spaceport licensing for reentry sites (Sierra Vista) and launch sites (Yuma). Potential CDS for spaceport infrastructure study.
3. Reauthorize SBIR/STTR	Standalone or NDAA	Rep. Biggs (Sci/Space/Tech)	Cosponsor and push for reauthorization. The lapse since Sep 30, 2025 is blocking Arizona small businesses from NASA, DoD, and other agency solicitations.
4. Sustain TraCSS funding	FY2027 CJS Approp.	Sen. Kelly + Rep. Ciscomani	Appropriations language protecting Office of Space Commerce TraCSS program from

			budget cuts. Arizona software and analytics firms are positioned for TraCSS contracting.
5. Golden Dome transparency and AZ industrial base	FY2027 NDAA	Sen. Kelly (SASC) + Rep. Hamadeh (HASC)	Provision requiring DoD to report on domestic industrial base capacity for Golden Dome implementation, including satellite manufacturing (Gilbert) and missile defense interceptors (Tucson).

ACTION 2.2.2: Establish a quarterly delegation briefing cadence. The Arizona Commerce Authority or Space Commission should host a 60-minute briefing for the delegation's DC-based defense and science staffers every quarter, updating them on Arizona space industry metrics (jobs, contracts, facility expansions) and upcoming federal solicitations. Frequency: quarterly, starting Q2 2026. Format: in-person at a member's DC office or virtual. Attendees: LD/LA staff from all 11 members plus ACA DC representative.

ACTION 2.2.3: File Congressionally Directed Spending (CDS) requests for FY2027 through Rep. Ciscomani's Appropriations Committee seat. Target: \$2–5M for a federally funded spaceport infrastructure assessment covering both Yuma and Sierra Vista, administered through the Economic Development Administration. File by the CDS deadline (typically March–April of each year). This is the single most direct path to federal dollars for Arizona spaceport development in FY2027.

3. Workstream 2: Federal Solicitation Capture Coordination

Arizona’s mid-tier and small space companies are missing federal opportunities because there is no statewide mechanism to (a) track solicitations, (b) alert companies, (c) form teaming arrangements, or (d) provide compliance support. The prime contractors handle this internally. The gap is in the 50–500 employee tier.

3.1 Build a Federal Space Opportunity Tracker

ACTION 3.1.1: The Arizona Commerce Authority, in coordination with the Arizona Technology Council’s Aerospace, Aviation, Space and Defense Committee, should establish a monthly Arizona Space Federal Opportunity Bulletin. This bulletin should track all open and anticipated solicitations relevant to Arizona’s space sector, updated monthly and distributed to a curated list of Arizona space companies, universities, and economic development offices.

The following solicitations should be included in the initial tracker (all verified active or anticipated as of March 2026):

Solicitation	Agency	Status	Arizona Action Required
SDA STEC BAA (PWSA capability vectors)	SDA/Space Force	Open through Mar 2027; rolling exec summaries	Alert Northrop Grumman, Raytheon, Honeywell, Rocket Lab/Geost, ASU, UofA. Encourage white paper submissions on tracking, custody, comms.
NASA SpaceTech REDDI NRA (NNH26ZTR001N)	NASA STMD	Open through Dec 2026; appendices TBD	Alert ASU, UofA, KinetX, small firms. Appendix-driven—need rapid proposal turnaround when appendices drop. Awards typically \$84K–\$2M.
SSC Spectrum Warfare Delta BAA (Link-182 S2S comms)	Space Systems Command	Active; CUI access requires NIST 800-171 compliance	Alert Honeywell electronics, Raytheon, RF/comms firms. Flag compliance gating—many AZ firms need SPRS score remediation.
DIU CSO pipeline (space sensing, missile defense sensors)	Defense Innovation Unit	Rolling; awards in 60–90 days	Alert Arizona sensor/electronics firms and startups. DIU favors nontraditional contractors—Arizona startups are eligible.

NASA SBIR/STTR (upon reauthorization)	NASA	Authorization lapsed 9/30/25; pending Congress	Monitor reauthorization. When reopened, Arizona small businesses need 30-day sprint readiness. Pre-position proposal teams now.
NSF Engines (Yuma SWRAIA consortium)	NSF	Finalist stage	Support Yuma coalition in final stages. Coordinate state matching commitments and industry letters of support.
FAA AST Safety R&D contracts	FAA	FY2026 budget: \$4.2M program costs	Alert Arizona AI/ML, safety analytics, and software firms. Small dollar but high-margin consulting opportunity.
Office of Space Commerce TraCSS contracts	NOAA/OSC	Active; user onboarding scaling	Alert Arizona data science, cloud services, and analytics firms. TraCSS system element recompetes and pilot program support.

3.2 Stand Up a NIST 800-171 Compliance Accelerator

ACTION 3.2.1: The single largest non-technical barrier preventing Arizona mid-tier firms from competing for defense space BAAs is cybersecurity compliance. Space Systems Command, SDA, and other defense space acquisition nodes increasingly require NIST SP 800-171 controls, SPRS self-assessment scores, and System Security Plans (SSPs) as preconditions for accessing Controlled Unclassified Information (CUI) and receiving controlled specifications. Many Arizona firms can meet technical requirements but lack the compliance posture and documentation.

The Arizona Commerce Authority should partner with the Arizona Technology Council and the Procurement Technical Assistance Center (PTAC) network to offer a “Defense Space Compliance Sprint”—a 90-day program that helps 10–15 Arizona space companies build NIST 800-171 evidence packages, calculate SPRS scores, and develop SSP/POA&M documentation. Estimated cost: \$150,000–\$300,000 (fundable through existing state workforce/economic development programs or PTAC grants). Timeline: launch by Q3 2026.

3.3 Form Targeted Teaming Consortia

ACTION 3.3.1: For NASA SpaceTech REDDI appendices, facilitate university-industry teaming between ASU, UofA, and Arizona small businesses. NASA’s REDDI NRA explicitly permits grants, cooperative agreements, and contracts, and favors university partnerships for

STTR-like structures. The Space Commission should host a “REDDI Teaming Day” within 30 days of each appendix release, matching university PIs with industry partners.

ACTION 3.3.2: For SDA STEC BAA submissions, facilitate pre-teaming introductions between prime contractors (Northrop Grumman, Raytheon) and Arizona mid-tier firms that can contribute niche technology (EO/IR sensors via Rocket Lab/Geost, space avionics via Honeywell, navigation via KinetX). The STEC BAA is structured for rolling executive summary intake through March 2027—this is a sustained capture pipeline, not a one-time event.

4. Workstream 3: Spaceport Strategy Coordination

Arizona has two active spaceport initiatives—Sierra Vista (reentry) and Yuma (launch)—that are currently operating independently with no state-level coordination. This creates three risks: they compete for the same state resources, they confuse the federal narrative, and they fail to leverage complementary positioning. A coordinated strategy treats them as two halves of one state capability.

4.1 Establish a Joint Spaceport Coordination Framework

ACTION 4.1.1: The Arizona Space Commission should establish a Spaceport Working Group with representation from Sierra Vista, Yuma, BlackStar Orbital, the FAA/AST (invited as observer), Launch on Demand consultants, and ACA. The group should meet monthly and produce a joint status report for the Commission quarterly. The purpose is not to merge the two efforts but to coordinate messaging, avoid duplicative federal asks, and share regulatory lessons.

ACTION 4.1.2: Develop a single “Arizona Spaceport” narrative for federal audiences that positions Sierra Vista and Yuma as complementary: Sierra Vista as a reentry and horizontal operations site (FAA Part 433, supporting BlackStar and future reusable vehicle recovery), and Yuma as a vertical launch site (FAA Part 420, targeting small-form rockets and defense testing). This framing avoids the perception that Arizona is hedging between two half-baked projects and instead presents a distributed spaceport network analogous to how Florida operates multiple facilities.

4.2 Advance FAA Licensing on Parallel Tracks

Milestone	Sierra Vista (Reentry)	Yuma (Launch)	State Role
Feasibility study	COMPLETE (Oct 2024, Launch on Demand)	Conceptual only; no formal study	Commission ACA-funded feasibility study for Yuma (\$200–400K) by Q3 2026
FAA pre-application engagement	INITIATED (met with FAA/AST in DC; \$200K allocated)	Early stage; pursuing FAA contact	Facilitate joint introductions to FAA/AST; avoid serial processing
Environmental review (NEPA)	Not yet initiated	Not yet initiated	Procure shared NEPA consultant to serve both sites; reduce cost and time
Anchor tenant / operator	BlackStar Orbital (LOI signed Mar 2025; 30K sq ft, 50+ jobs)	Interorbital Systems (MOU for Neptune launches)	Validate anchor tenant financial viability; BlackStar is pre-revenue

FAA license application	Expected 2026–27	Expected 2027–28	Track timelines; intervene if delays exceed 24 months
Military coordination	Requires Fort Huachuca compatibility	Adjacent to Yuma Proving Ground (advantage)	Facilitate state-level DoD coordination through AZDEMA
Federal infrastructure funding	None secured	NSF Engines finalist (up to \$160M/10yr)	Pursue EDA grants; file CDS through Rep. Ciscomani
Earliest operational date	2028 (optimistic)	2029–2030 (optimistic)	Manage expectations; communicate realistic timelines to stakeholders

ACTION 4.2.1: Allocate state funds (\$200,000–\$400,000) through ACA or the Governor’s Office to commission a formal feasibility study for the Yuma spaceport, comparable to the Launch on Demand study completed for Sierra Vista in October 2024. Without this study, Yuma cannot credibly proceed to FAA pre-application consultation. Timeline: issue RFP by May 2026, complete study by Q4 2026.

ACTION 4.2.2: Procure a shared environmental consulting firm to begin preliminary NEPA scoping for both sites simultaneously. Environmental review is typically the longest-duration element of FAA spaceport licensing. Starting early—even before formal license application—can compress the overall timeline by 6–12 months. Estimated cost: \$300,000–\$800,000 per site depending on scope. Fundable through a combination of state appropriation, EDA planning grants, and local matching funds.

ACTION 4.2.3: Engage the congressional delegation to include report language in the FY2027 FAA authorization or appropriations bill directing FAA/AST to prioritize licensing applications from states with multiple complementary spaceport proposals. This kind of language is routinely inserted and costs nothing—it signals federal interest and can accelerate FAA staff attention.

5. Workstream 4: University Research and Workforce Alignment

Arizona's three research universities—ASU, UofA, and NAU—plus Embry-Riddle Prescott represent a significant asset that is currently underleveraged for coordinated federal capture. ASU has 120+ space industry partners and participation in 25+ active missions. UofA has launched a Space and National Security Institute and holds end-to-end mission operations roles for NASA spacecraft. The Space Force selected ASU for its University Partnership Program. Yet these capabilities are not presented to federal agencies as a coordinated Arizona system.

5.1 Create an Arizona Space Research Consortium

ACTION 5.1.1: The Space Commission should convene the VP for Research (or equivalent) at ASU, UofA, NAU, and Embry-Riddle to form an informal Arizona Space Research Consortium. The Consortium's initial mandate: produce a joint capabilities brief (5 pages max) that maps Arizona university space research capacity against federal solicitation areas (SDA STEC BAA vectors, NASA STMD priorities, AFRL Space Vehicles Directorate needs, NSF space-related programs). Deadline: June 2026.

ACTION 5.1.2: Leverage ASU's Space Force University Partnership Program status to pursue Cooperative Research and Development Agreements (CRADAs) and BAA-funded research aligned to PWSA capability vectors. Specifically target: resilient tactical communications, alternate PNT, space domain awareness, and AI-enabled space systems—all of which are identified in the SDA STEC BAA as priority areas. UofA's Space and National Security Institute should pursue parallel engagement with AFRL Space Vehicles Directorate at Kirtland AFB on quantum networks, hypersonics, and advanced materials.

5.2 Align Workforce Pipeline to Industry Demand

ACTION 5.2.1: The Future48 Workforce Accelerator (launched 2025, partnership with Governor, ACA, Maricopa Community Colleges, Boeing, Honeywell) should add a space-specific track targeting satellite assembly/integration/test (AIT) technicians, NIST 800-171 compliance specialists, and FAA safety analysts. These are the three workforce gaps most frequently cited by Arizona space companies. Engage Northrop Grumman Gilbert (435,000 sq ft satellite manufacturing campus, actively hiring) and Rocket Lab/Geost Tucson (expanding headcount post-acquisition) as employer partners for curriculum design and apprenticeship hosting.

ACTION 5.2.2: Produce an annual Arizona Space Workforce Supply-Demand Assessment. Quantify: how many graduates per year ASU, UofA, Embry-Riddle, NAU, and Maricopa Community Colleges produce in aerospace engineering, electrical engineering, systems engineering, computer science, and skilled manufacturing trades—versus projected demand from Northrop Grumman, Raytheon, Honeywell Aerospace, Rocket Lab, Virgin Galactic, Blue Origin, and BlackStar. This data is essential for federal workforce development grant applications (DOL, DOD, NSF) and for the Space Commission's biennial strategic plan.

6. Workstream 5: State Investment Package and Federal Matching

The federal government invests where states invest. Colorado secured Space Force headquarters partly by demonstrating state commitment. Florida maintains multiple spaceports with state infrastructure support. Arizona needs to define what it is willing to put on the table.

6.1 Define the State Investment Commitment

ACTION 6.1.1: The Governor’s Office and Arizona Legislature should develop a “Space Investment Package” that quantifies Arizona’s commitment. Recommended components:

Investment	Estimated Cost	Source	Purpose
Spaceport feasibility study (Yuma)	\$200–400K	ACA or state appropriation	Required precursor to FAA licensing; establishes credibility
Shared NEPA consulting for two sites	\$600K–\$1.6M	State appropriation + local match	Compresses FAA licensing timelines
NIST 800-171 Compliance Sprint	\$150–300K	ACA/PTAC	Unlocks defense space BAA access for 10–15 AZ firms
Space Commission staffing + operations	\$500K–\$1M/yr	State appropriation	Currently unfunded/understaffed; needs dedicated director + analyst
Workforce Accelerator space track	\$300–500K/yr	ACA + employer match	Directly addresses AIT technician and compliance workforce gaps
Federal lobbyist/gov affairs retainer (DC)	\$250–500K/yr	ACA or Space Commission	Sustained Washington presence for appropriations and agency engagement
University research matching funds	\$500K–\$1M/yr	State research fund	Leverages federal research dollars at 3:1 or better ratios

CDS match for EDA infrastructure grants	\$500K–\$2M	State or local	Required match for federal community development grants
TOTAL ESTIMATED ANNUAL INVESTMENT	\$3–\$8M/yr	Multiple	Leverages \$6–10B+ in federal space spending flowing to AZ

ACTION 6.1.2: Benchmark this investment against competitor states. New Mexico allocated \$209M for Spaceport America. Florida’s Space Florida organization operates with an annual budget exceeding \$20M. Colorado invested heavily in Space Command attraction. Arizona’s proposed \$3–8M annual commitment is modest relative to peers but represents a credible starting position that can be scaled as federal returns materialize. Present this comparison to the Governor and Legislature by Q3 2026.

6.2 Publish the Space Commission’s Biennial Strategic Plan

ACTION 6.2.1: HB2254 requires the Arizona Space Commission to develop and publish a biennial strategic plan. The first plan has not yet been published. This plan is the single most important state-level deliverable because it creates the policy framework for all other actions. Recommended deadline: September 2026 (18 months after the Commission’s February 2025 relaunch).

The strategic plan should include: a current-state assessment of Arizona’s space economy (jobs, companies, facilities, contracts); a gap analysis comparing Arizona to peer states; a prioritized set of state investments; a federal engagement strategy keyed to the workstreams in this action plan; measurable goals for 2027–2029 (e.g., “secure FAA license for at least one Arizona spaceport by 2028” or “increase Arizona small business awards from SDA/NASA by 50% within two years”); and an annual reporting mechanism.

7. Master Execution Timeline

Date	Action	Workstream	Responsible
Mar–Apr 2026	Draft Arizona Space Priorities 1-pager for delegation	Congressional	ACA + Space Commission
Mar–Apr 2026	File FY2027 CDS request through Rep. Ciscomani for spaceport infrastructure assessment	Congressional	ACA DC office + Ciscomani LD
Apr 2026	Launch monthly Federal Space Opportunity Bulletin	Capture	ACA + AZ Tech Council
May 2026	Deliver delegation priorities brief to all 11 members' DC staff	Congressional	ACA + Space Commission
May 2026	Issue RFP for Yuma spaceport feasibility study	Spaceport	City of Yuma + ACA
May 2026	Host first quarterly delegation staff briefing (DC)	Congressional	ACA DC representative
Jun 2026	Publish joint university space capabilities brief	University	ASU + UofA + NAU + Embry-Riddle
Jun 2026	Honeywell Aerospace Investor Day (Phoenix)—leverage for AZ space narrative	Ecosystem	Honeywell / ACA presence
Jul 2026	Launch NIST 800-171 Compliance Sprint (10–15 firms)	Capture	ACA + PTAC + AZ Tech Council
Jul 2026	Procure shared NEPA consultant for Sierra Vista + Yuma	Spaceport	Space Commission + cities
Aug 2026	First quarterly delegation staff briefing #2	Congressional	ACA DC representative
Sep 2026	Publish Space Commission Biennial Strategic Plan	State Investment	Space Commission + ACA

Sep 2026	Complete Space Workforce Supply-Demand Assessment	University	ASU + ACA
Oct 2026	NIST 800-171 Sprint concludes; 10–15 firms compliance-ready	Capture	PTAC
Q4 2026	Complete Yuma feasibility study	Spaceport	Yuma + consultant
Q4 2026	Monitor SBIR/STTR reauthorization; prepare sprint proposals	Capture	ACA + small business network
Nov 2026	Third quarterly delegation staff briefing	Congressional	ACA DC representative
Q1 2027	File FY2028 CDS + begin NDAA engagement for FY2028	Congressional	ACA + Space Commission
Q1 2027	Sierra Vista FAA license application (target)	Spaceport	Sierra Vista + consultant
Q2 2027	Assess first-year progress; adjust plan	All	Space Commission

8. Success Metrics and Accountability

The following metrics should be tracked quarterly by the Space Commission and reported to the Governor's Office and the delegation.

Metric	Baseline (Mar 2026)	12-Month Target (Mar 2027)
Arizona small business awards from SDA/NASA/AFRL space solicitations	Establish baseline count	+25% year-over-year
Arizona firms with NIST 800-171 SPRS scores ≥ 110	Unknown; establish baseline	15+ firms compliant via Sprint
FAA spaceport licensing milestones achieved	0 licenses; 2 in pre-application	1 formal application submitted
Arizona Space Priorities brief delivered to delegation	Does not exist	Delivered and updated annually
Quarterly delegation briefings conducted	0	4 conducted
Federal Space Opportunity Bulletin editions published	0	12 (monthly)
Space Commission strategic plan published	Not published	Published by Sep 2026
University-industry teaming arrangements formed for federal proposals	Ad hoc	5+ formal teaming agreements
State investment committed to space sector	Minimal dedicated funding	\$3–8M/yr package proposed to Legislature
New aerospace/space jobs created in Arizona	Establish 2025 baseline from ACA data	+1,500 net new positions

9. Risk Register

Risk	Likelihood	Impact	Mitigation
Golden Dome reconciliation funding is one-time; FY2027 Space Force budget reverts to ~\$26B base	HIGH	HIGH	Diversify Arizona's federal space revenue beyond Golden Dome; emphasize civil and commercial programs. Engage delegation to push for sustained base budget growth.
SBIR/STTR reauthorization delayed beyond 2026	MEDIUM	HIGH	Prepare Arizona firms to pivot to NASA STMD ACO, AFRL BAAs, and DIU CSOs as alternative small-business pathways.
BlackStar Orbital fails to reach operational status; Sierra Vista spaceport loses anchor tenant	MEDIUM	HIGH	Diversify Sierra Vista's tenant strategy beyond single company; pursue reentry capability applicable to multiple operators.
FAA licensing takes 3+ years; spaceport timelines slip to 2030+	MEDIUM	MEDIUM	Start NEPA and pre-application engagement immediately; compressed timelines depend on early-start environmental work.
State Legislature declines to fund Space Commission adequately	MEDIUM	HIGH	Build economic impact case showing leverage ratio (state \$3–8M investment vs. \$6–10B+ in federal spending flowing to AZ). Present ROI to appropriations leadership.
Arizona mid-tier firms remain non-compliant with NIST 800-171; lose defense BAA eligibility	HIGH	HIGH	Execute Compliance Sprint in Q3 2026; build recurring compliance advisory capacity.
Yuma spaceport faces environmental or border coordination challenges that delay licensing indefinitely	MEDIUM	MEDIUM	Parallel-path strategy: Sierra Vista can proceed independently. Mexico coordination should begin now, not at licensing stage.
Competition from peer states (CO, FL, TX)	LOW-MED	MEDIUM	Emphasize Arizona's differentiators: clear skies, available land, #1 guided missile/space vehicle

attracts companies away from AZ			manufacturing concentration, Honeywell Aerospace HQ, lower cost of operations.
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10. Closing Assessment

Arizona's space sector has crossed a threshold. The state is no longer talking about potential—it has genuine industrial capacity in satellite manufacturing, missile defense space systems, avionics, and an emerging payload/sensor cluster. But industrial capacity alone does not win federal dollars. What wins federal dollars is coordinated strategy: the right ask, through the right committee, at the right time in the appropriations cycle, backed by demonstrated state commitment and compliance-ready companies.

This plan lays out 20+ specific actions across five workstreams. If executed, these actions will: give the congressional delegation a unified space-sector ask for the first time; make 10–15 Arizona mid-tier firms eligible for defense space BAAs they currently cannot access; advance both spaceport initiatives through the early licensing gates; align university research to federal solicitation priorities; and create the state investment framework needed to compete with peer states.

The total state investment required is approximately \$3–8 million per year—a fraction of the \$6–10 billion in federal space spending already flowing to Arizona annually through prime contractor operations. The leverage ratio is compelling. The question is not whether the opportunity is real. It is whether Arizona will organize itself to capture it.

Source References

This action plan synthesizes findings from the following primary sources. Detailed citations appear in the two underlying reports.

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8. City of Yuma / Yuma Spaceport: NSF Engines pursuit and timeline (yumaaz.gov; yumaspaceport.com)
9. Space Development Agency: STEC BAA, Tranche 3 Tracking Layer awards (\$3.5B, Dec 2025), opportunities page (sda.mil)

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16. National Science Foundation: NSF Engines program description (nsf.gov)
17. Arizona State University: Space at ASU; Interplanetary Initiative; Space Summit 2025 (space.asu.edu; news.asu.edu)
18. University of Arizona: Space and National Security Institute; mission operations (research.arizona.edu)
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END OF ACTION PLAN